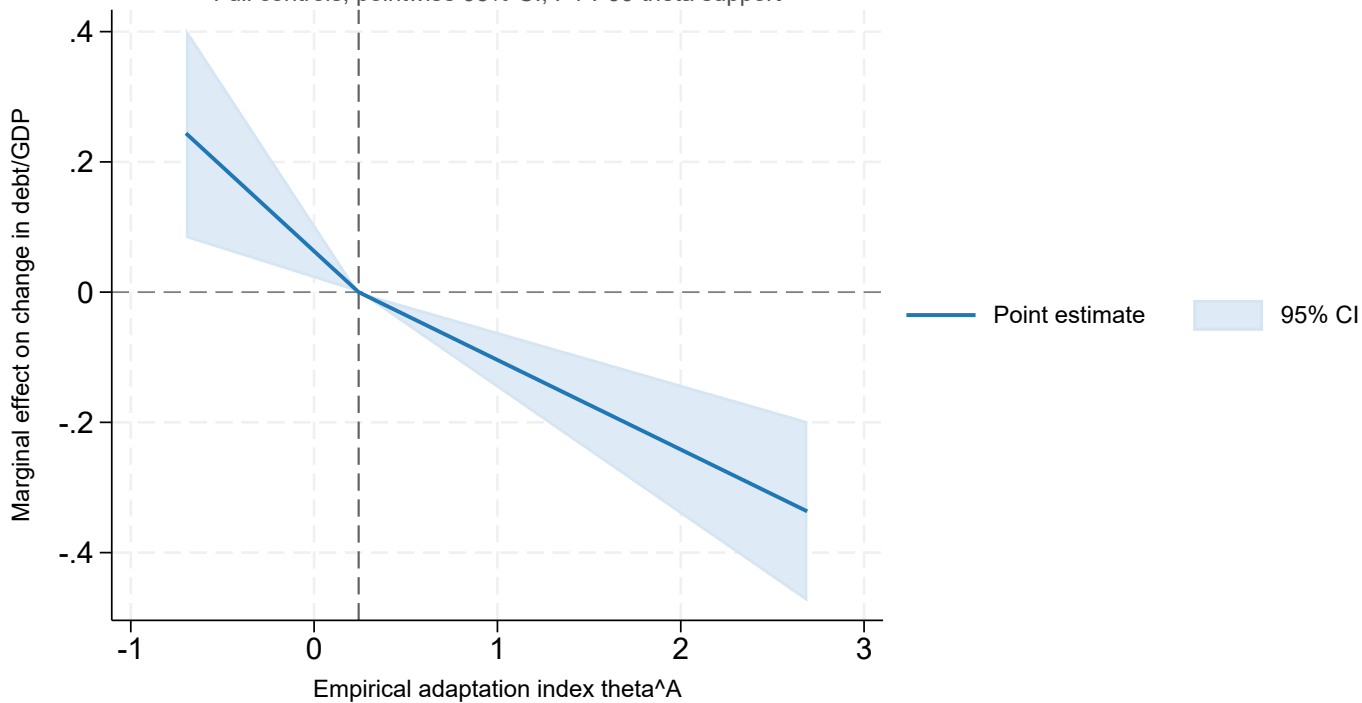


Debt/GDP change at t+1: no b_it state

Full controls; pointwise 95% CI; P1-P99 theta support



Dashed line: RSS-minimizing cutoff in the full debt equation.